

Hindustan Unilever Ltd

HINDUNILVR

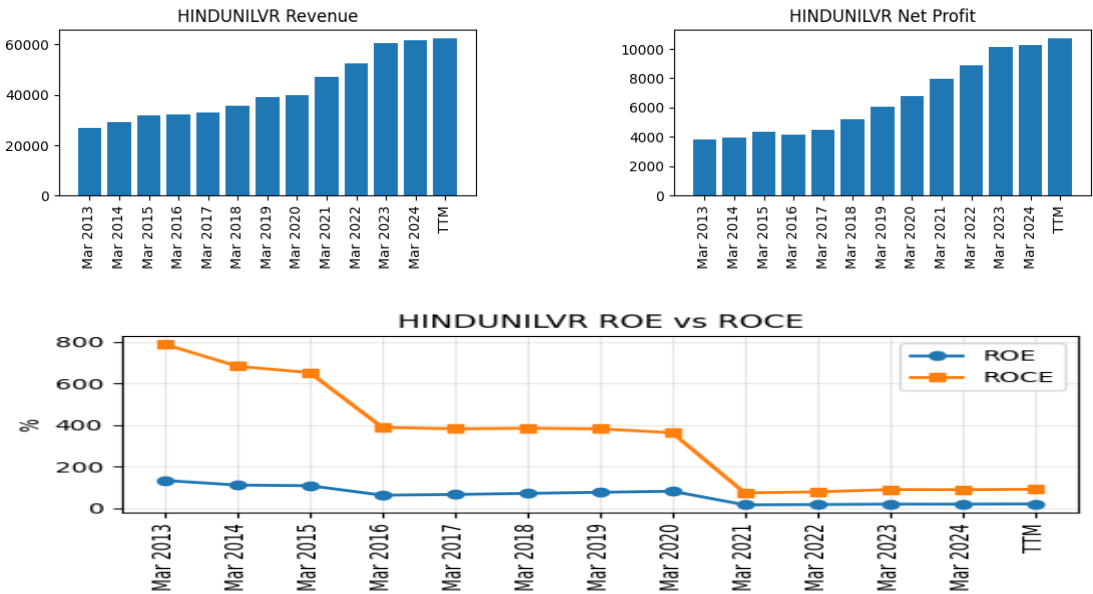
Key Financial Metrics

ROE 21.19%	ROCE 91.37%	Debt / Equity 0.03
Revenue CAGR 7.83%	FCF Conversion 150.45%	Quality Score 54.88

Company Profile

Company	Hindustan Unilever Ltd
Sector	Consumer Staples
Industry	FMCG
Market Cap (■ Cr)	548,890.59
P/E Ratio	34.51
P/B Ratio	11.88
Dividend Yield	4.32%

Financial Performance



AI Investment Summary

Hindustan Unilever Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has healthy profitability, strong capital efficiency, limited revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 54.9/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

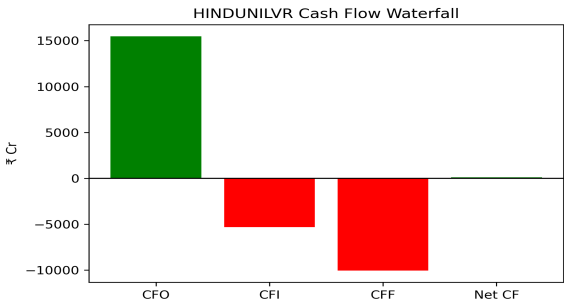
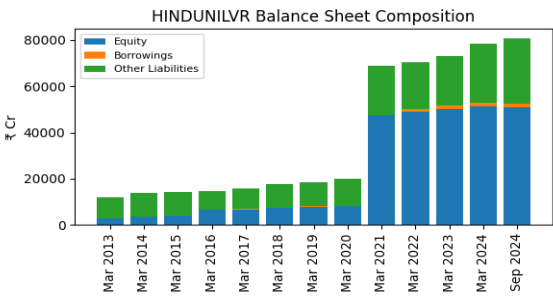
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 56.9/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 56.9

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Moderate
Cash Flow	Strong
Leverage	Strong
Valuation	Fair

Capital Allocation

Shareholder Returns